AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

B291
Financial Accounting

MTA

2024-2025 / Spring Semester
Version C
10-April-2025

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Number of Exam Pages: 3 (including this cover sheet)	Time Allowed:2 hours

Instructions:

- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
- This is a **CLOSED** book examination. NO documents of any kind are allowed.
- You **MUST** answer the questions using only the answer booklets provided
- You **MUST** return the examination paper together with your answer booklets.
- Do **NOT** write your answers in pencil except graphs/sketches
- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examinat
- Students are allowed to use ***non-programmable*** calculators only (if needed).
- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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Question 1

i. The IASB Framework lists a number of different measurement bases which are employed in different degrees and in varying combinations in financial statements. Discuss these bases.

ii. Explain the capital maintenance concept and how it is used. Discuss two different approaches that may be used for the determination of profit in capital maintenance concept.

iii. Explain the various kinds of financial and capital markets. Also, discuss the nature and role of financial markets.

[Marks: (12 + 12 +12) = 36]

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Question 2

During March 2025, the following changes in XY inventory took place:

Date	Explanation	Units	Unit Cost
March 5	Balance	700	$10
8	Purchased	400	9
15	Purchased	500	11
18	Sold	800	15
19	Purchased	200	12

Perpetual inventories are maintained.

Required:

What is the cost of sales and ending inventory for item XY under the following methods?

1- FIFO.

2- LIFO.

[Marks: (7+7) = 14]

Question 3

Mr. Yannick has started business as a trader on 1 January, 2025. The following transactions and events of trading for his first month are as follows:

Date ***Transaction***

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1 Started the business by introducing $600,000 into the business bank account.
2 Rent is paid by cheque $16,000 for the month.
8 He purchases delivery van for $7000 paid in cash.
10 Mr. Yannick purchased goods costing $40,000 on credit from Adam (invoice no Adam123).
12 Mr. Yannick sold goods for $20,000 in cash to John.
15 Mr. Yannick sold goods for $35,000 on credit to Jack (invoice no Jack001)
24 Mr. Yannick paid the amount, taking advantage of a 10% settlement discount with respect to invoice no. Adam123.
25 Jack paid to Mr. Yannick, taking advantage of a 7.5 % settlement discount with respect to invoice no. jack001.

Required:

1- Enter the above transactions into an appropriate cash book.
2- Post the transactions *directly* to the appropriate nominal ledger accounts.
3- Prepare the trial balance as at January 30, 2025.

[Marks: (10 + 10 + 6) = 26]

Question 4

A business buys a delivery van for $80,000 on 1st January 2024. Its estimated useful life in the business is 6 years, after which it will be sold for an estimated residual value of $20,000.

Required:

Prepares tables showing the carrying amounts brought down and carried down and the depreciation expense for each of the four years of useful life using:

1. a. Straight line method of depreciation
   b. Reducing balance depreciation
2. Assume a business disposed of a delivery van on 1st January 2026 for $50,000. Calculate the loss/gain on the disposal under straight line and also reducing balance method.

[Marks: (8 + 8 + 8) = 24]

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End of Questions

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